

Sardar Singh v. State of U.P. and Another

High Court of Judicature at Allahabad · Division Bench · 30 May 2023 · 2023:AHC:121415-DB · Writ - C No. 15079 of 2023 · **Writ petition allowed. Recovery proceedings for Rs. 2,49,098 quashed. Respondents may proceed afresh strictly in accordance with the U.P. Electricity Supply Code, 2005. Respondent no. 2 to pay Rs. 1,00,000 personally to the petitioner.**

HEADNOTE

Clause 6.8 of the U.P. Electricity Supply Code, 2005 mandatorily requires fifteen working days' clear notice to the assessee to file objections and to appear for hearing. A provisional notice that gives less than that time is ex facie illegal. A recovery demand issued when no final assessment order exists cannot stand. Applying those rules, the Division Bench allowed the writ and quashed the Electricity Department's recovery of Rs. 2,49,098. The Department may proceed afresh strictly in accordance with the Code. Respondent no. 2, who repeated the short-notice defect and admitted the harassment, was directed to pay Rs. 1,00,000 to the petitioner personally. The Court did not decide the merits or quantum of any fresh assessment.

FACTUAL SUMMARY

Sardar Singh filed Writ-C No. 15079 of 2023 against the State of U.P. and another, challenging Electricity Department recovery of Rs. 2,49,098. A provisional notice dated 16 April 2022 required him to appear before the Assessing Officer on 26 April 2022. On 3 May 2023 the Bench called that notice ex facie illegal, for want of fifteen days' clear time to object under Clause 6.8 of the U.P. Electricity Supply Code, 2005, called for respondent no. 2's affidavit, and stayed coercive action.

On 22 May 2023 the Executive Engineer's affidavit admitted that the provisional notice had not given fifteen days and that no final assessment order existed when the demand was issued. Counsel said the recovery had been withdrawn, yet conceded that a notice of 12 May 2023 fixing 27 May 2023 failed to give fifteen working days to reply and appear. The Court required respondent no. 2 to appear in person. On 30 May 2023 he admitted the omission and undertook to pay Rs. 1,00,000 personally. A notice of 29 May 2023 fixed 20 June 2023 for objections.

REUSABLE CONSTRUCTIONS

1. Clause 6.8 of the U.P. Electricity Supply Code, 2005 mandatorily requires fifteen working days' clear notice to the assessee to submit a reply and to appear for hearing. A provisional notice that fixes appearance inside that period is ex facie illegal and cannot sustain the proceeding. ¶ 1-2
2. A demand notice issued when no final assessment order exists, straight after a defective provisional notice, cannot be sustained under Clause 6.8. ¶ 1
3. Breach of the Clause 6.8 notice requirement, and a demand raised without a final assessment, vitiate the recovery. The writ court may quash it and leave the licensee to proceed afresh strictly in accordance with the Code. ¶ 5
4. An officer who repeatedly issues Clause 6.8 notices that do not give fifteen working days' clear notice, and thereby harasses the assessee, may be directed to bear the costs personally. ¶ 2-3, 6

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8

Fifteen working days' clear notice to object and to appear is mandatory before a Clause 6.8 proceeding can be sustained

QUESTION

Is a provisional assessment notice that requires the assessee to appear before the Assessing Officer on a date short of fifteen clear days valid under Clause 6.8?

HOLDING

No. Clause 6.8 mandatorily requires fifteen days' clear time to file an objection. The Court, the Department's counsel, and respondent no. 2 treated that stipulation as fifteen working days' clear notice to submit a reply and to appear for hearing. The notice dated 16 April 2022 requiring appearance on 26 April 2022 did not provide it and was ex facie illegal. A notice dated 12 May 2023 fixing 27 May 2023 was conceded to suffer from the same defect. On 30 May 2023 respondent no. 2 admitted that the requisite notice had not been issued and that the petitioner had been harassed. The recovery founded on that process was quashed, with liberty to proceed afresh strictly in accordance with the Code. ¶ 1-2

QUALIFIER

The 3 May 2023 order said '15 days' clear time'; the 22 May and 30 May orders, and the officer's admission, said 'fifteen working days' and 'fifteen working days clear notice'. The Court did not distinguish the two formulations.

FLAG Pins are to the 30 May 2023 order (Neutral Citation No. 2023:AHC:121415-DB). Its paragraph 1 sets out the orders of 3 May 2023 and 22 May 2023 in full. The source PDF also contains those earlier orders as separate sheets, and paragraph numbers restart. The Court cited Clause 6.8 only, with no sub-clause and no section of the Electricity Act, and did not say whether the demand was for unauthorised use or theft.

HOLDING-UNIT · UP-2005::6.8

No recovery demand where no final assessment order has been passed

QUESTION

Can the licensee raise a recovery demand when no final assessment order has been passed?

HOLDING

No. The Executive Engineer's affidavit showed that no final assessment order was in existence and that the impugned demand notice had been issued straightway. A demand so raised cannot be sustained. The Court allowed the petition and quashed the recovery proceedings for Rs. 2,49,098, leaving the respondents to proceed afresh strictly in accordance with the U.P. Electricity Supply Code, 2005. ¶ 1, 5

QUALIFIER

On 22 May 2023 counsel stated that the impugned recovery had already been withdrawn. The Court nevertheless quashed the recovery on 30 May 2023.

PRINCIPLE TAGS

6.8-procedure-mandatory The Bench treated fifteen days' clear time, later recorded as fifteen working days' clear notice to reply and to appear, as mandatorily required by Clause 6.8. The 16 April 2022 notice for a 26 April 2022 appearance was called ex facie illegal, and the 12 May 2023 notice was conceded to repeat the defect. ¶ 1-2

provisional-assessment-hearing-6.8b Departmental counsel conceded that Clause 6.8 requires fifteen working days' notice to the assessee to submit a reply and to appear for hearing. Neither the original provisional notice nor the 12 May 2023 notice met that requirement. The Court did not cite sub-clause (b). ¶ 1

no-demand-or-recovery-before-final-assessment-order The Executive Engineer's affidavit showed that no final assessment order existed and that the demand notice had been issued straightway. The recovery could not be sustained on that footing. ¶ 1

para-6.8-non-compliance-vitiates-assessment-and-recovery Want of the mandatory Clause 6.8 notice, together with a demand issued without a final assessment, led the Court to quash the recovery proceedings. ¶ 1, 5

assessment-quashed-for-breach-of-clause-6.8-procedure The writ was allowed and the recovery of Rs. 2,49,098 was quashed for breach of Clause 6.8, with liberty to proceed afresh strictly in accordance with the Code. ¶ 5

costs-and-officer-accountability-for-procedural-harassment Respondent no. 2 admitted that the omitted notice had harassed the petitioner and undertook to pay Rs. 1,00,000. Counsel stated the cost would be borne by him personally, and the Court directed payment as undertaken. ¶ 2-3, 6

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS AND QUANTUM OF THE ASSESSMENT OF RS. 2,49,098

The recovery was quashed for want of the Clause 6.8 notice and of a final assessment order. The respondents were left to proceed afresh strictly in accordance with the Code. ¶ 4-5

NOT DECIDED — WHETHER THE DEMAND WAS FOR UNAUTHORISED USE OR FOR THEFT OF ELECTRICITY

The Court applied Clause 6.8 only. It did not characterise the demand and did not cite the Electricity Act. ¶ 1

NOT DECIDED — VALIDITY OF THE NOTICE DATED 29 MAY 2023 FIXING 20 JUNE 2023

Counsel presented that notice as the fresh process and said the hearing date would be intimated and the proceedings finalised. The Court did not test whether that notice itself gave fifteen working days. ¶ 4-5

NOT DECIDED — REFERRAL OF RESPONDENT NO. 2 TO HIGHER OFFICIALS

The 22 May 2023 order asked why the matter should not be referred for action for repeated violation of the Code. The 30 May 2023 order accepted personal costs and did not make that reference. ¶ 1, 6

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.